

**SUBSTITUTE FOR
HOUSE BILL NO. 5544**

A bill to regulate the business of money transmission; to require the licensing of persons engaged in the business of money transmission; to prescribe the powers and duties of certain state and local officers and entities; to prescribe penalties and civil sanctions; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

ARTICLE 1

SHORT TITLE AND PURPOSE

Sec. 1. This act may be cited as the "money transmission modernization act".

Sec. 3. This act is designed to replace existing state money transmission laws currently codified in the money transmission services act, 2006 PA 250, MCL 487.1001 to 487.1047. It is the



1 intent of the legislature that the provisions of this act
2 accomplish all of the following:

3 (a) Ensure states can coordinate in all areas of regulation,
4 licensing, and supervision to eliminate unnecessary regulatory
5 burden and more effectively utilize regulator resources.

6 (b) Protect the public from financial crime.

7 (c) Standardize the types of activities that are subject to
8 licensing or otherwise exempt from licensing.

9 (d) Modernize safety and soundness requirements to ensure
10 customer funds are protected in an environment that supports
11 innovative and competitive business practices.

12 ARTICLE 2

13 DEFINITIONS

14 Sec. 5. As used in this act:

15 (a) "Acting in concert" means persons knowingly acting
16 together with a common goal of jointly acquiring control of a
17 licensee whether or not under an express agreement.

18 (b) "Authorized delegate" means a person a licensee designates
19 to engage in money transmission on behalf of the licensee.

20 (c) "Average daily money transmission liability" means the
21 amount of the licensee's outstanding money transmission obligations
22 in Michigan at the end of each day in a given period of time, added
23 together, and divided by the total number of days in the given
24 period of time. For purposes of calculating average daily money
25 transmission liability under this act for any licensee required to
26 do so, the given period of time must be the quarters ending March
27 31, June 30, September 30, and December 31.

28 (d) "Bank secrecy act" means the bank secrecy act, Public Law
29 91-508, and the regulations promulgated under that act.



1 (e) "Closed loop stored value" means stored value that is
2 redeemable by the issuer only for goods or services provided by the
3 issuer or its affiliate or franchisees of the issuer or its
4 affiliate, except to the extent required by applicable law to be
5 redeemable in cash for its cash value.

6 (f) "Control" means the power to vote, directly or indirectly,
7 at least 25% of the outstanding voting shares or voting interests
8 of a licensee or person in control of a licensee, the power to
9 elect or appoint a majority of key individuals or executive
10 officers, managers, directors, trustees, or other persons
11 exercising managerial authority of a person in control of a
12 licensee, or the power to exercise, directly or indirectly, a
13 controlling influence over the management or policies of a licensee
14 or person in control of a licensee. A person is presumed to
15 exercise a controlling influence when the person holds the power to
16 vote, directly or indirectly, at least 10% of the outstanding
17 voting shares or voting interests of a licensee or person in
18 control of a licensee. A person presumed to exercise a controlling
19 influence under this subdivision can rebut the presumption of
20 control if the person is a passive investor. For purposes of
21 determining the percentage of a person controlled by any other
22 person, the person's interest must be aggregated with the interest
23 of any other immediate family member, including the person's
24 spouse, parents, children, siblings, mothers- and fathers-in law,
25 sons- and daughters-in-law, brothers- and sisters-in-law, and any
26 other person who shares such person's home.

27 (g) "Department" means the department of insurance and
28 financial services.

29 (h) "Director" means the director of the department or the



1 director's designee.

2 (i) "Eligible rating" means a credit rating of any of the 3
3 highest rating categories provided by an eligible rating service,
4 whereby each category may include rating category modifiers such as
5 "plus" or "minus" for S&P, or the equivalent for any other eligible
6 rating service. Long-term credit ratings are deemed eligible if the
7 rating is equal to A- or higher by S&P, or the equivalent from any
8 other eligible rating service. Short-term credit ratings are deemed
9 eligible if the rating is equal to or higher than A-2 or SP-2 by
10 S&P, or the equivalent from any other eligible rating service. In
11 the event that ratings differ among eligible rating services, the
12 highest rating applies when determining whether a security bears an
13 eligible rating.

14 (j) "Eligible rating service" means any nationally recognized
15 statistical rating organization, as that term is defined by the
16 United States Securities and Exchange Commission, and any other
17 organization designated by the director by rule or order.

18 (k) "Federally insured depository financial institution" means
19 a bank, credit union, savings and loan association, trust company,
20 savings association, savings bank, industrial bank, or industrial
21 loan company organized under the laws of the United States or any
22 state of the United States, when such bank, credit union, savings
23 and loan association, trust company, savings association, savings
24 bank, industrial bank, or industrial loan company has federally
25 insured deposits.

26 (l) "In this state" means at a physical location within this
27 state for a transaction requested in person. For a transaction
28 requested electronically or by phone, the provider of money
29 transmission may determine if the person requesting the transaction



1 is in this state by relying on other information provided by the
2 person regarding the location of the individual's residential
3 address or a business entity's principal place of business or other
4 physical address location, and any records associated with the
5 person that the provider of money transmission may have that
6 indicate such location, including, but not limited to, an address
7 associated with an account.

8 (m) "Individual" means a natural person.

9 (n) "Key individual" means any individual ultimately
10 responsible for establishing or directing policies and procedures
11 of the licensee, such as an executive officer, manager, director,
12 or trustee.

13 (o) "Licensee" means a person licensed or required to be
14 licensed under this act.

15 (p) "Material litigation" means litigation, that according to
16 United States generally accepted accounting principles, is
17 significant to a person's financial health and would be required to
18 be disclosed in the person's annual audited financial statements,
19 report to shareholders, or similar records.

20 (q) "Monetary value" means a medium of exchange, whether or
21 not redeemable in money.

22 (r) "Money" means a medium of exchange that is authorized or
23 adopted by the United States or a foreign government. Money
24 includes a monetary unit of account established by an
25 intergovernmental organization or by agreement between 2 or more
26 governments.

27 (s) "Money transmission" means selling or issuing payment
28 instruments to a person located in this state, selling or issuing
29 stored value to a person located in this state, or receiving money



1 for transmission from a person located in this state. Money
2 transmission includes payroll processing services. Money
3 transmission does not include any of the following:

4 (i) The provision only of online or telecommunications services
5 or network access.

6 (ii) The exchange, transfer, or custody of virtual currency if
7 the exchange, transfer, or custody does not involve the transfer of
8 legal tender.

9 (t) "MSB accredited state" means a state agency that is
10 accredited by the Conference of State Bank Supervisors and Money
11 Transmitter Regulators Association for money transmission licensing
12 and supervision.

13 (u) "Multistate licensing process" means any agreement entered
14 into by and among state regulators relating to coordinated
15 processing of applications for money transmission licenses,
16 applications for the acquisition of control of a licensee, control
17 determinations, or notice and information requirements for a change
18 of key individuals.

19 (v) "Nationwide multistate licensing system and registry"
20 means the nationwide multistate licensing system and registry
21 developed by the Conference of State Bank Supervisors and the
22 American Association of Residential Mortgage Regulators and owned
23 and operated by the State Regulatory Registry, LLC, or any
24 successor or affiliated entity, for the licensing and registration
25 of persons in financial services industries.

26 (w) "Outstanding money transmission obligations" must be
27 established and extinguished in accordance with applicable state
28 law and means any payment instrument or stored value issued or sold
29 by the licensee to a person located in the United States or



1 reported as sold by an authorized delegate of the licensee to a
2 person that is located in the United States that has not yet been
3 paid or refunded by or for the licensee, or escheated in accordance
4 with applicable abandoned property laws, or any money received for
5 transmission by the licensee or an authorized delegate in the
6 United States from a person located in the United States that has
7 not been received by the payee or refunded to the sender, or
8 escheated in accordance with applicable abandoned property laws.

9 For purposes of this subdivision, "in the United States" includes,
10 to the extent applicable, a person in any state, territory, or
11 possession of the United States, the District of Columbia, the
12 Commonwealth of Puerto Rico, or a United States military
13 installation that is located in a foreign country.

14 (x) "Passive investor" means a person to which all of the
15 following apply:

16 (i) The person does not have the power to elect a majority of
17 key individuals or executive officers, managers, directors,
18 trustees, or other persons exercising managerial authority of a
19 person in control of a licensee.

20 (ii) The person is not employed by and does not have any
21 managerial duties of the licensee or person in control of a
22 licensee.

23 (iii) The person does not have the power to exercise, directly
24 or indirectly, a controlling influence over the management or
25 policies of a licensee or person in control of a licensee.

26 (iv) The person does either of the following:

27 (A) Attests to subparagraphs (i), (ii), and (iii), in a form and
28 in a medium prescribed by the director.

29 (B) Commits to the passivity characteristics of subparagraphs



(i), (ii), and (iii), in a written document.

(y) "Payment instrument" means a written or electronic check, draft, money order, traveler's check, or other written or electronic instrument for the transmission or payment of money or monetary value, whether or not negotiable. Payment instrument does not include stored value or any instrument to which either of the following applies:

(i) It is redeemable by the issuer only for goods or services provided by the issuer or its affiliate or franchisees of the issuer or its affiliate, except to the extent required by applicable law to be redeemable in cash for its cash value.

(ii) It is not sold to the public but issued and distributed as part of a loyalty, rewards, or promotional program.

(z) "Payroll processing services" means receiving money for transmission under a contract with a person to deliver wages or salaries, make payment of payroll taxes to state and federal agencies, make payments relating to employee benefit plans, or make distributions of other authorized deductions from wages or salaries. Payroll processing services does not include an employer performing payroll processing services on its own behalf or on behalf of its affiliate, or a professional employer organization subject to regulation under other applicable state law.

(aa) "Person" means any individual, general partnership, limited partnership, limited liability company, corporation, trust, association, joint stock corporation, or other corporate entity identified by the director.

(bb) "Receiving money for transmission" or "money received for transmission" means receiving money or monetary value in the United States for transmission within or outside the United States by



1 electronic or other means.

2 (cc) "Stored value" means monetary value representing a claim
3 against the issuer evidenced by an electronic or digital record,
4 and that is intended and accepted for use as a means of redemption
5 for money or monetary value, or payment for goods or services.
6 Stored value includes, but is not limited to, prepaid access, as
7 that term is defined by 31 CFR 1010.100. Notwithstanding the
8 foregoing, stored value does not include a payment instrument or
9 closed loop stored value, or stored value not sold to the public
10 but issued and distributed as part of a loyalty, rewards, or
11 promotional program.

12 (dd) "Tangible net worth" means the aggregate assets of a
13 licensee excluding all intangible assets, less liabilities, as
14 determined in accordance with United States generally accepted
15 accounting principles.

16 ARTICLE 3

17 EXEMPTIONS

18 Sec. 7. This act does not apply to any of the following:

19 (a) An operator of a payment system to the extent that it
20 provides processing, clearing, or settlement services, between or
21 among persons exempted by this section or licensees, in connection
22 with wire transfers, credit card transactions, debit card
23 transactions, stored-value transactions, automated clearing house
24 transfers, or similar funds transfers.

25 (b) A person appointed as an agent of a payee to collect and
26 process a payment from a payor to the payee for goods or services,
27 other than money transmission itself, provided to the payor by the
28 payee, provided that all of the following apply:

29 (i) There exists a written agreement between the payee and the



1 agent directing the agent to collect and process payments from
2 payors on the payee's behalf.

3 (ii) The payee holds the agent out to the public as accepting
4 payments for goods or services on the payee's behalf.

5 (iii) Any payment for the goods and services is treated as
6 received by the payee on receipt by the agent so that the payor's
7 obligation is extinguished and there is no risk of loss to the
8 payor if the agent fails to remit the funds to the payee.

9 (c) A person that acts as an intermediary by processing
10 payments between an entity that has directly incurred an
11 outstanding money transmission obligation to a sender, and the
12 sender's designated recipient, provided that all of the following
13 apply to the entity:

14 (i) It is properly licensed or exempt from licensing
15 requirements under this act.

16 (ii) It provides a receipt, electronic record, or other written
17 confirmation to the sender identifying the entity as the provider
18 of money transmission in the transaction.

19 (iii) It bears sole responsibility to satisfy the outstanding
20 money transmission obligation to the sender, including the
21 obligation to make the sender whole in connection with any failure
22 to transmit the funds to the sender's designated recipient.

23 (d) The United States or a department, agency, or
24 instrumentality thereof, or its agent.

25 (e) Money transmission by the United States Postal Service or
26 by an agent of the United States Postal Service.

27 (f) A state, county, city, or any other governmental agency or
28 governmental subdivision or instrumentality of a state, or its
29 agent.



1 (g) A federally insured depository financial institution, bank
2 holding company, office of an international banking corporation,
3 foreign bank that establishes a federal branch under 12 USC 3102,
4 corporation organized under the bank service company act, 12 USC
5 1861 to 1867, or corporation organized under the edge act, 12 USC
6 611 to 631.

7 (h) Electronic funds transfer of governmental benefits for a
8 federal, state, county, or governmental agency by a contractor on
9 behalf of the United States or a department, agency, or
10 instrumentality thereof, or on behalf of a state or governmental
11 subdivision, agency, or instrumentality thereof.

12 (i) A board of trade designated as a contract market under the
13 commodity exchange act, 7 USC 1 to 27f, or a person that, in the
14 ordinary course of business, provides clearance and settlement
15 services for a board of trade to the extent of its operation as or
16 for such a board.

17 (j) A registered futures commission merchant under the federal
18 commodities laws to the extent of its operation as such a merchant.

19 (k) A person registered as a securities broker-dealer under
20 federal or state securities laws to the extent of its operation as
21 such a broker-dealer.

22 (l) An individual employed by a licensee, authorized delegate,
23 or any person exempted from the licensing requirements of the act
24 when acting within the scope of employment and under the
25 supervision of the licensee, authorized delegate, or exempted
26 person as an employee and not as an independent contractor.

27 (m) A person expressly appointed as a third party service
28 provider to or agent of an entity exempt under subdivision (g),
29 solely to the extent that both of the following apply:



1 (i) The service provider or agent is engaging in money
2 transmission on behalf of and under a written agreement with the
3 exempt entity that sets forth the specific functions that the
4 service provider or agent is to perform.

5 (ii) The exempt entity assumes all risk of loss and all legal
6 responsibility for satisfying the outstanding money transmission
7 obligations owed to purchasers and holders of the outstanding money
8 transmission obligations on receipt of the purchaser's or holder's
9 money or monetary value by the service provider or agent.

10 (n) A person exempt by regulation or order if the director
11 finds such exemption to be in the public interest and that the
12 regulation of such person is not necessary for the purposes of this
13 act.

14 Sec. 9. The director may require that any person claiming to
15 be exempt from licensing under section 7 provide information and
16 documentation to the director demonstrating that it qualifies for
17 any claimed exemption.

18 ARTICLE 4

19 IMPLEMENTATION, CONFIDENTIALITY, SUPERVISION, AND RELATIONSHIP TO 20 FEDERAL LAW

21 Sec. 11. (1) In order to carry out the purposes of this act,
22 the director may, subject to the provisions of section 13(1) and
23 (2) do any of the following:

24 (a) Enter into agreements or relationships with other
25 government officials or federal and state regulatory agencies or
26 regulatory associations in order to improve efficiencies and reduce
27 regulatory burden by standardizing methods or procedures, and
28 sharing resources, records, or related information obtained under
29 this act.



1 (b) Use, hire, contract, or employ analytical systems,
2 methods, or software to examine or investigate any person subject
3 to this act.

4 (c) Accept, from other state or federal government agencies or
5 officials, licensing, examination, or investigation reports made by
6 such other state or federal government agencies or officials.

7 (d) Accept audit reports made by an independent certified
8 public accountant or other qualified third-party auditor for an
9 applicant or licensee and incorporate the audit report in any
10 report of examination or investigation.

11 (2) The director shall have the administrative authority to
12 administer, interpret, and enforce this act, and promulgate rules
13 or regulations implementing this act.

14 Sec. 13. (1) Except as otherwise provided in subsection (2),
15 all information or reports obtained by the director from an
16 applicant, licensee, or authorized delegate, and all information
17 contained in or related to an examination, investigation, operating
18 report, or condition report prepared by, on behalf of, or for the
19 use of the director, or financial statements, balance sheets, or
20 authorized delegate information, are confidential and are not
21 subject to disclosure under the freedom of information act, 1976 PA
22 442, MCL 15.231 to 15.246.

23 (2) The director may disclose information not otherwise
24 subject to disclosure under subsection (1) to representatives of
25 state or federal agencies who promise in a record that they will
26 maintain the confidentiality of the information or where the
27 director finds that the release is reasonably necessary for the
28 protection and interest of the public in accordance with the
29 freedom of information act, 1976 PA 442, MCL 15.231 to 15.246.



1 (3) This section does not prohibit the director from
2 disclosing to the public a list of all licensees or the aggregated
3 financial or transactional data concerning those licensees.

4 (4) The following information contained in the records of the
5 department is not confidential and may be made available to the
6 public:

7 (a) The name, business address, telephone number, and unique
8 identifier of a licensee.

9 (b) The business address of a licensee's registered agent for
10 service.

11 (c) The name, business address, and telephone number of all
12 authorized delegates.

13 (d) The terms of any bond filed by a licensee, provided that
14 confidential information, including, but not limited to, prices and
15 fees for such bond is redacted.

16 (e) Copies of any non-confidential final orders of the
17 department relating to any violation of this act or regulations
18 implementing this act.

19 (f) Imposition of an administrative fine or penalty under this
20 act.

21 Sec. 15. (1) The director may conduct an examination or
22 investigation of a licensee or authorized delegate or otherwise
23 take independent action authorized by this act or by a rule adopted
24 or order issued under this act as reasonably necessary or
25 appropriate to administer and enforce this act, regulations
26 implementing this act, and other applicable law, including the bank
27 secrecy act and the uniting and strengthening America by providing
28 appropriate tools required to intercept and obstruct terrorism (USA
29 PATRIOT ACT) act of 2001, Public Law 107-56. The director may do



1 any of the following:

2 (a) Conduct an examination or investigation either on-site or
3 off-site as the director may reasonably require.

4 (b) Conduct an examination or investigation in conjunction
5 with an examination or investigation conducted by representatives
6 of other state agencies or agencies of another state or of the
7 federal government.

8 (c) Accept the examination or investigation report of another
9 state agency or an agency of another state or of the federal
10 government, or a report prepared by an independent accounting firm,
11 which on being accepted is considered for all purposes as an
12 official report of the director.

13 (d) Summon and examine under oath a key individual or employee
14 of a licensee or authorized delegate and require the person to
15 produce records regarding any matter related to the condition and
16 business of the licensee or authorized delegate.

17 (2) A licensee or authorized delegate shall provide, and the
18 director shall have full and complete access to, all records the
19 director may reasonably require to conduct a complete examination
20 or investigation. The records must be provided at the location and
21 in the format specified by the director, provided, the director may
22 utilize multistate record production standards and examination
23 procedures when such standards will reasonably achieve the
24 requirements of this subsection.

25 (3) Unless otherwise directed by the director, a licensee
26 shall pay all costs reasonably incurred in connection with an
27 examination or investigation of the licensee or the licensee's
28 authorized delegates.

29 Sec. 17. (1) To efficiently and effectively administer and



1 enforce this act and to minimize regulatory burden, the director
2 may participate in multistate supervisory processes established
3 between states and coordinated through the Conference of State Bank
4 Supervisors, Money Transmitter Regulatory Association, and
5 affiliates and successors thereof, for all licensees that hold
6 licenses in this state and other states. As a participant in
7 multistate supervision, the director shall do all of the following:

8 (a) Cooperate, coordinate, and share information with other
9 states and federal regulators in accordance with section 13.

10 (b) Enter into written cooperation, coordination, or
11 information-sharing contracts or agreements with organizations the
12 membership of which is made up of state or federal governmental
13 agencies.

14 (c) Cooperate, coordinate, and share information with
15 organizations the membership of which is made up of state or
16 federal governmental agencies, provided that the organizations
17 agree in writing to maintain the confidentiality and security of
18 the shared information in accordance with section 13.

19 (2) The director may not waive, and nothing in this section
20 constitutes a waiver of, the director's authority to conduct an
21 examination or investigation or otherwise take independent action
22 authorized by this act or a rule adopted or order issued under this
23 act to enforce compliance with applicable state or federal law.

24 (3) A joint examination or investigation, or acceptance of an
25 examination or investigation report, does not waive an examination
26 assessment provided for in this act.

27 Sec. 19. In the event state money transmission jurisdiction is
28 conditioned on a federal law, any inconsistencies between a
29 provision of this act and the federal law governing money



1 transmission are governed by the applicable federal law to the
2 extent of the inconsistency.

3 ARTICLE 5

4 MONEY TRANSMISSION LICENSES

5 Sec. 21. (1) A person may not engage in the business of money
6 transmission or advertise, solicit, or hold itself out as providing
7 money transmission unless the person is licensed under this act.

8 (2) Subsection (1) does not apply to either of the following:

9 (a) A person that is an authorized delegate of a person
10 licensed under this act acting within the scope of authority
11 conferred by a written contract with the licensee.

12 (b) A person that is exempt under section 7 and does not
13 engage in money transmission outside the scope of such exemption.

14 (3) A license issued under section 29 is not transferable or
15 assignable.

16 Sec. 23. (1) To establish consistent licensing between
17 Michigan and other states, the director is authorized to do either
18 or both of the following:

19 (a) Implement all licensing provisions of this act in a manner
20 that is consistent with other states that have adopted this act or
21 multistate licensing processes.

22 (b) Participate in nationwide protocols for licensing
23 cooperation and coordination among state regulators provided that
24 such protocols are consistent with this act.

25 (2) In order to fulfill the purposes of this act, the director
26 is authorized to establish relationships or contracts with the
27 nationwide multistate licensing system and registry or other
28 entities designated by the nationwide multistate licensing system
29 and registry to enable the director to do any of the following:



1 (a) Collect and maintain records.

2 (b) Coordinate multistate licensing processes and supervision
3 processes.

4 (c) Process fees.

5 (d) Facilitate communication between Michigan and licensees or
6 other persons subject to this act.

7 (3) The director is authorized to utilize the nationwide
8 multistate licensing system and registry for all aspects of
9 licensing in accordance with this act, including but not limited
10 to, license applications, applications for acquisitions of control,
11 surety bonds, reporting, criminal history background checks, credit
12 checks, fee processing, and examinations.

13 (4) The director is authorized to utilize the nationwide
14 multistate licensing system and registry's forms, processes, and
15 functionalities in accordance with this act. In the event the
16 nationwide multistate licensing system and registry does not
17 provide functionality, forms, or processes for a provision of this
18 act, the director is authorized to strive to implement the
19 requirements in a manner that facilitates uniformity with respect
20 to licensing, supervision, reporting, and regulation of licensees
21 which are licensed in multiple jurisdictions.

22 (5) For the purpose of participating in the nationwide
23 multistate licensing system and registry, the director is
24 authorized to waive or modify, in whole or in part, by rule,
25 regulation or order, any or all of the requirements and to
26 establish new requirements as reasonably necessary to participate
27 in the nationwide multistate licensing system and registry.

28 Sec. 25. (1) Applicants for a license shall apply in a form
29 and in a medium as prescribed by the director. Each such form must



1 contain content as set forth by rule, regulation, order, or
2 instruction of the director and may be changed or updated by the
3 director in accordance with applicable law in order to carry out
4 the purposes of this act and maintain consistency with the
5 nationwide multistate licensing system and registry licensing
6 standards and practices. The application must state or contain, as
7 applicable, all of the following:

8 (a) The legal name and residential and business addresses of
9 the applicant and any fictitious or trade name used by the
10 applicant in conducting its business.

11 (b) A list of any criminal convictions of the applicant and
12 any material litigation in which the applicant has been involved in
13 the 10-year period immediately preceding the submission of the
14 application.

15 (c) A description of any money transmission previously
16 provided by the applicant and the money transmission that the
17 applicant seeks to provide in this state.

18 (d) A list of the applicant's proposed authorized delegates
19 and the locations in this state where the applicant and its
20 authorized delegates propose to engage in money transmission.

21 (e) A list of other states in which the applicant is licensed
22 to engage in money transmission and any license revocations,
23 suspensions, or other disciplinary action taken against the
24 applicant in another state.

25 (f) Information concerning any bankruptcy or receivership
26 proceedings affecting the licensee or a person in control of a
27 licensee.

28 (g) The name and address of any federally insured depository
29 financial institution through which the applicant plans to conduct



1 money transmission.

2 (h) Any other information the director or the nationwide
3 multistate licensing system and registry reasonably requires with
4 respect to the applicant.

5 (2) If an applicant is a corporation, limited liability
6 company, partnership, or other legal entity, the applicant shall
7 also provide all of the following:

8 (a) The date of the applicant's incorporation or formation and
9 state or country of incorporation or formation.

10 (b) If applicable, a certificate of good standing from the
11 state or country in which the applicant is incorporated or formed.

12 (c) A brief description of the structure or organization of
13 the applicant, including any parents or subsidiaries of the
14 applicant, and whether any parents or subsidiaries are publicly
15 traded.

16 (d) The legal name, any fictitious or trade name, all business
17 and residential addresses, and the employment, as applicable, in
18 the 10-year period immediately preceding the submission of the
19 application of each key individual and person in control of the
20 applicant.

21 (e) A list of any criminal convictions and material litigation
22 in which a person in control of the applicant that is not an
23 individual has been involved in the 10-year period immediately
24 preceding the submission of the application.

25 (f) A copy of audited financial statements of the applicant
26 for the most recent fiscal year and for the 2-year period
27 immediately preceding the submission of the application or, if
28 determined to be acceptable to the director, certified unaudited
29 financial statements for the most recent fiscal year or other



1 period acceptable to the director.

2 (g) A certified copy of unaudited financial statements of the
3 applicant for the most recent fiscal quarter.

4 (h) If the applicant is a publicly traded corporation, a copy
5 of the most recent report filed with the United States Securities
6 and Exchange Commission under section 13 of the securities exchange
7 act of 1934, 15 USC 78m.

8 (i) If the applicant is a wholly owned subsidiary of a
9 corporation publicly traded in the United States, a copy of audited
10 financial statements for the parent corporation for the most recent
11 fiscal year or a copy of the parent corporation's most recent
12 report filed under section 13 of the securities exchange act of
13 1934, 15 USC 78m. If the applicant is a wholly owned subsidiary of
14 a corporation publicly traded outside the United States, a copy of
15 similar documentation filed with the regulator of the parent
16 corporation's domicile outside the United States.

17 (j) The name and address of the applicant's registered agent
18 in this state.

19 (k) Any other information the director reasonably requires
20 with respect to the applicant.

21 (3) A nonrefundable application fee as required by section
22 31(1) must accompany an application for a license under this
23 section.

24 (4) The director may waive 1 or more requirements of
25 subsections (1) and (2) or permit an applicant to submit other
26 information in lieu of the required information.

27 Sec. 27. (1) Any individual in control of a licensee or
28 applicant, any individual that seeks to acquire control of a
29 licensee, and each key individual shall furnish to the director



1 through the nationwide multistate licensing system and registry all
2 of the following items:

3 (a) The individual's fingerprints for submission to the
4 Federal Bureau of Investigation and the director for purposes of a
5 state and national criminal history background check unless the
6 person currently resides outside of the United States and has
7 resided outside of the United States for the last 10 years. As part
8 of or in connection with an application for a license under this
9 act the director is authorized to receive any and all criminal
10 history record information.

11 (b) Personal history and experience in a form and in a medium
12 prescribed by the director, to obtain all of the following:

13 (i) An independent credit report from a consumer reporting
14 agency unless the individual does not have a Social Security
15 number, in which case, this requirement must be waived.

16 (ii) Information related to any criminal convictions or pending
17 charges.

18 (iii) Information related to any regulatory or administrative
19 action and any civil litigation involving claims of fraud,
20 misrepresentation, conversion, mismanagement of funds, breach of
21 fiduciary duty, or breach of contract.

22 (2) If the individual has resided outside of the United States
23 at any time in the last 10 years, the individual shall also provide
24 an investigative background report prepared by an independent
25 search firm that meets both of the following requirements:

26 (a) At a minimum, both of the following apply to the search
27 firm:

28 (i) It shall demonstrate that it has sufficient knowledge,
29 resources, and employs accepted and reasonable methodologies to



1 conduct the research of the background report.

2 (ii) It shall not be affiliated with or have an interest with
3 the individual it is researching.

4 (b) At a minimum, the investigative background report must be
5 written in the English language and contain all of the following:

6 (i) If available in the individual's current jurisdiction of
7 residency, a comprehensive credit report, or any equivalent
8 information obtained or generated by the independent search firm to
9 accomplish such report, including a search of the court data in the
10 countries, provinces, states, cities, towns, and contiguous areas
11 where the individual resided and worked.

12 (ii) Criminal records information for the past 10 years,
13 including, but not limited to, felonies, misdemeanors, or similar
14 convictions for violations of law in the countries, provinces,
15 states, cities, towns, and contiguous areas where the individual
16 resided and worked.

17 (iii) Employment history.

18 (iv) Media history, including an electronic search of national
19 and local publications, wire services, and business applications.

20 (v) Financial services-related regulatory history, including
21 but not limited to, money transmission, securities, banking,
22 insurance, and mortgage- related industries.

23 Sec. 29. (1) When an application for an original license under
24 this act appears to include all the items and addresses all of the
25 matters that are required, the application is complete and the
26 director shall promptly notify the applicant in a record of the
27 date on which the application is determined to be complete. The
28 director shall approve or deny the application within 120 days
29 after the completion date. If the application is not approved or



1 denied within 120 days after the completion date, the application
2 is approved and the license takes effect as of the first business
3 day after expiration of the 120-day period. The director may for
4 good cause extend the application period.

5 (2) A determination by the director that an application is
6 complete and is accepted for processing means only that the
7 application, on its face, appears to include all of the items,
8 including the criminal background check response from the Federal
9 Bureau of Investigation, and address all of the matters that are
10 required, and is not an assessment of the substance of the
11 application or of the sufficiency of the information provided.

12 (3) When an application is filed and considered complete under
13 this section, the director shall investigate the applicant's
14 financial condition and responsibility, financial and business
15 experience, character, and general fitness. The director may
16 conduct an on-site investigation of the applicant, the reasonable
17 cost of which the applicant must pay. The director shall issue a
18 license to an applicant under this section if the director finds
19 that both of the following conditions have been fulfilled:

20 (a) The applicant has complied with sections 25 and 27.

21 (b) The financial condition and responsibility, financial and
22 business experience, competence, character, and general fitness of
23 the applicant, and the competence, experience, character, and
24 general fitness of the key individuals and persons in control of
25 the applicant indicate that it is in the interest of the public to
26 permit the applicant to engage in money transmission.

27 (4) If an applicant avails itself or is otherwise subject to a
28 multistate licensing process, both of the following apply:

29 (a) The director may accept the investigation results of a



1 lead investigative state for the purpose of subsection (3) if the
2 lead investigative state has sufficient staffing, expertise, and
3 minimum standards.

4 (b) If Michigan is a lead investigative state, the director
5 may investigate the applicant under subsection (3) and the time
6 frames established by agreement through the multistate licensing
7 process, provided however, that in no case must such time frame be
8 noncompliant with the application period in subsection (1).

9 (5) The director shall issue a formal written notice of the
10 denial of a license application within 30 days of the decision to
11 deny the application. The director shall set forth in the notice of
12 denial the specific reasons for the denial of the application. An
13 applicant whose application is denied by the director under this
14 subsection may appeal within 30 days after receipt of the written
15 notice of the denial and request a hearing on the denial.

16 (6) The initial license term begins on the day the application
17 is approved. The license expires on December 31 of the year in
18 which the license term began, unless the initial license date is
19 between November 1 and December 31, in which instance the initial
20 license term runs through December 31 of the following year.

21 Sec. 31. (1) By December 31 of each year, the director shall
22 establish a schedule of fees to be paid by applicants and licensees
23 during the next calendar year. In establishing license fees, the
24 director shall consider each licensee's business volume and number
25 of locations and any other business factors the director considers
26 reasonable in order to generate funds sufficient to pay, but not to
27 exceed, the office's reasonably anticipated costs of administering
28 this act.

29 (2) A license under this act must be renewed annually. An



1 annual renewal fee as set forth in subsection (1) must be paid no
2 more than 60 days before the license expiration.

3 (3) Except as provided in section 29(6), the renewal term is
4 for a period of 1 year and begins on January 1 of each year after
5 the initial license term and expires on December 31 of the year the
6 renewal term begins.

7 (4) A licensee shall submit a renewal report with the renewal
8 fee, in a form and in a medium prescribed by the director. The
9 renewal report must state or contain a description of each material
10 change in information submitted by the licensee in its original
11 license application which has not been reported to the director.

12 (5) The director on timely request may grant an extension of
13 the renewal date. If the director grants an extension, a licensee
14 who fails to submit to the director a renewal report or renewal fee
15 required under this section by December 31 is subject to a late fee
16 of \$50.00 for each day the report is delinquent or \$5,000.00,
17 whichever is less.

18 (6) The director is authorized to utilize the nationwide
19 multistate licensing system and registry to process license
20 renewals provided that such functionality is consistent with this
21 section.

22 Sec. 33. (1) If a licensee does not continue to meet the
23 qualifications or satisfy the requirements that apply to an
24 applicant for a new money transmission license, the director may
25 suspend or revoke the licensee's license in accordance with the
26 procedures established by this act or other applicable state law
27 for such suspension or revocation.

28 (2) An applicant for a money transmission license shall
29 demonstrate that it meets or will meet, and a money transmission



1 licensee shall at all times meet, the requirements in sections 65,
2 67, and 69.

3 ARTICLE 6

4 ACQUISITION OF CONTROL AND CHANGE OF KEY INDIVIDUAL

5 Sec. 35. (1) Any person, or group of persons acting in
6 concert, seeking to acquire control of a licensee shall obtain the
7 written approval of the director before acquiring control. An
8 individual is not deemed to acquire control of a licensee and is
9 not subject to these acquisition of control provisions when that
10 individual becomes a key individual in the ordinary course of
11 business.

12 (2) A person, or group of persons acting in concert, seeking
13 to acquire control of a licensee shall, in cooperation with the
14 licensee, do both of the following:

15 (a) Submit an application in a form and in a medium prescribed
16 by the director.

17 (b) Submit a nonrefundable fee with the request for approval
18 in an amount established by the director under section 31.

19 (3) On request, the director may permit a licensee or the
20 person, or group of persons acting in concert, to submit some or
21 all information required by the director under subsection (2) (a)
22 without using the nationwide multistate licensing system and
23 registry.

24 (4) The application required by subsection (2) (a) must include
25 information required by section 27 for any new key individuals that
26 have not previously completed the requirements of section 27 for a
27 licensee.

28 (5) When an application for acquisition of control under this
29 section appears to include all the items and address all of the



1 matters that are required, the application must be considered
2 complete and the director shall promptly notify the applicant in a
3 record of the date on which the application was determined to be
4 complete and the director shall approve or deny the application
5 within 60 days after the completion date. If the application is not
6 approved or denied within 60 days after the completion date, the
7 license continues until a decision is made. The director may for
8 good cause extend the application period.

9 (6) A determination by the director that an application is
10 complete and is accepted for processing means only that the
11 application, on its face, appears to include all of the items and
12 address all of the matters that are required, and is not an
13 assessment of the substance of the application or of the
14 sufficiency of the information provided.

15 (7) When an application is filed and considered complete under
16 subsection (5), the director shall investigate the financial
17 condition and responsibility, financial and business experience,
18 character, and general fitness of the person, or group of persons
19 acting in concert, seeking to acquire control. The director shall
20 approve an acquisition of control under this section if the
21 director finds that both of the following conditions have been
22 fulfilled:

23 (a) The requirements of subsections (2) and (4) have been met,
24 as applicable.

25 (b) The financial condition and responsibility, financial and
26 business experience, competence, character, and general fitness of
27 the person, or group of persons acting in concert, seeking to
28 acquire control, and the competence, experience, character, and
29 general fitness of the key individuals and persons that would be in



1 control of the licensee after the acquisition of control indicate
2 that it is in the interest of the public to permit the person, or
3 group of persons acting in concert, to control the licensee.

4 (8) If an applicant avails itself or is otherwise subject to a
5 multistate licensing process, the director may accept the
6 investigation results of a lead investigative state for the purpose
7 of subsection (7) if the lead investigative state has sufficient
8 staffing, expertise, and minimum standards, or if Michigan is a
9 lead investigative state, the director may investigate the
10 applicant in accordance with subsection (7) and the time frames
11 established by agreement through the multistate licensing process.
12 The director shall issue a formal written notice of the denial of
13 an application to acquire control within 30 days of the decision to
14 deny the application. The director shall set forth in the notice of
15 denial the specific reasons for the denial of the application. An
16 applicant whose application is denied by the director under this
17 subsection may appeal within 30 days after receipt of the written
18 notice of the denial and request a hearing.

19 (9) The requirements of subsections (1) and (2) do not apply
20 to any of the following:

21 (a) A person that acts as a proxy for the sole purpose of
22 voting at a designated meeting of the shareholders or holders of
23 voting shares or voting interests of a licensee or a person in
24 control of a licensee.

25 (b) A person that acquires control of a licensee by devise or
26 descent.

27 (c) A person that acquires control of a licensee as a personal
28 representative, custodian, guardian, conservator, or trustee, or as
29 an officer appointed by a court of competent jurisdiction or by



1 operation of law.

2 (d) A person that is exempt under section 7(g).

3 (e) A person that the director determines is not subject to
4 subsection (1) based on the public interest.

5 (f) A public offering of securities of a licensee or a person
6 in control of a licensee.

7 (g) An internal reorganization of a person in control of the
8 licensee where the ultimate person in control of the licensee
9 remains the same.

10 (10) Persons in subsection (9)(b), (c), (d), (f), and (g), in
11 cooperation with the licensee, shall notify the director within 15
12 days after the acquisition of control.

13 (11) The requirements of subsections (1) and (2) do not apply
14 to a person that has complied with and received approval to engage
15 in money transmission under this act or was identified as a person
16 in control in a previous application filed with and approved by the
17 director or by an MSB accredited state in accordance with a
18 multistate licensing process, provided that all of the following
19 are true:

20 (a) The person has not had a license revoked or suspended or
21 controlled a licensee that has had a license revoked or suspended
22 while the person was in control of the licensee in the previous 5-
23 years.

24 (b) If the person is a licensee, the person is well managed
25 and has received at least a satisfactory rating for compliance at
26 its most recent examination by an MSB accredited state if such
27 rating was given.

28 (c) The licensee to be acquired is projected to meet the
29 requirements of sections 65, 67, and 69 after the acquisition of



1 control is completed, and if the person acquiring control is a
2 licensee, that licensee is also projected to meet the requirements
3 of sections 65, 67, and 69 after the acquisition of control is
4 completed.

5 (d) The licensee to be acquired will not implement any
6 material changes to its business plan as a result of the
7 acquisition of control, and if the person acquiring control is a
8 licensee, that licensee also will not implement any material
9 changes to its business plan as a result of the acquisition of
10 control.

11 (e) The person provides notice of the acquisition in
12 cooperation with the licensee and attests to subdivisions (a), (b),
13 (c), and (d) in a form and in a medium prescribed by the director.

14 (12) If the notice described in subsection (11)(e) is not
15 disapproved within 30 days after the date on which the notice was
16 determined to be complete, the notice is deemed approved.

17 (13) Before filing an application for approval to acquire
18 control of a licensee a person may request in writing a
19 determination from the director as to whether the person would be
20 considered a person in control of a licensee on consummation of a
21 proposed transaction. If the director determines that the person
22 would not be a person in control of a licensee, the proposed person
23 and transaction is not subject to the requirements of subsections
24 (1) and (2).

25 (14) If a multistate licensing process includes a
26 determination under subsection (13) and an applicant avails itself
27 or is otherwise subject to the multistate licensing process, either
28 of the following apply:

29 (a) The director is authorized to accept the control



1 determination of a lead investigative state with sufficient
2 staffing, expertise, and minimum standards for the purpose of
3 subsection (13).

4 (b) If Michigan is a lead investigative state, the director is
5 authorized to investigate the applicant under subsection (13) and
6 the time frames established by agreement through the multistate
7 licensing process.

8 Sec. 37. (1) A licensee adding or replacing any key individual
9 shall do both of the following:

10 (a) Provide notice in a manner prescribed by the director
11 within 15 days after the effective date of the key individual's
12 appointment.

13 (b) Provide information as required by section 27 within 45
14 days of the effective date.

15 (2) Within 90 days of the date on which the notice provided
16 under subsection (1) was determined to be complete, the director
17 may issue a notice of disapproval of a key individual if the
18 competence, experience, character, or integrity of the individual
19 would not be in the best interests of the public or the customers
20 of the licensee to permit the individual to be a key individual of
21 such licensee.

22 (3) A notice of disapproval must contain a statement of the
23 basis for disapproval and must be sent to the licensee and the
24 disapproved individual. A licensee may appeal a notice of
25 disapproval within 30 days after receipt of such notice of
26 disapproval.

27 (4) If the notice provided under subsection (1) is not
28 disapproved within 90 days after the date on which the notice was
29 determined to be complete, the key individual is deemed approved.



1 (5) If a multistate licensing process includes a key
2 individual notice review and disapproval process in accordance with
3 this section and the licensee avails itself or is otherwise subject
4 to the multistate licensing process, both of the following apply:

5 (a) The director is authorized to accept the determination of
6 another state if the investigating state has sufficient staffing,
7 expertise, and minimum standards for the purpose of this section.

8 (b) If Michigan is a lead investigative state, the director is
9 authorized to investigate the applicant under subsection (2) and
10 the time frames established by agreement through the multistate
11 licensing process.

12 ARTICLE 7

13 REPORTING AND RECORDS

14 Sec. 39. (1) Each licensee shall submit a report of condition
15 within 45 days of the end of the calendar quarter, or within any
16 extended time as the director may prescribe.

17 (2) The report of condition must include all of the following:

18 (a) Financial information at the licensee level.

19 (b) Nationwide and state-specific money transmission
20 transaction information in every jurisdiction in the United States
21 where the licensee is licensed to engage in money transmission.

22 (c) Permissible investments report.

23 (d) Transaction destination country reporting for money
24 received for transmission, if applicable.

25 (e) Any other information the director reasonably requires
26 with respect to the licensee. The director is authorized to utilize
27 the nationwide multistate licensing system and registry for the
28 submission of the report required by subsection (1) and is
29 authorized to update as necessary the requirements of this section



1 to carry out the purposes of this act and maintain consistency with
2 the nationwide multistate licensing system and registry reporting.

3 (3) The information required by subdivision (2)(d) must only
4 be included in a report of condition submitted within 45 days of
5 the end of the fourth calendar quarter.

6 Sec. 41. (1) Each licensee shall, within 90 days after the end
7 of each fiscal year, or within any extended time as the director
8 may prescribe, file both of the following with the director:

9 (a) An audited financial statement of the licensee for the
10 fiscal year prepared in accordance with United States generally
11 accepted accounting principles.

12 (b) Any other information as the director may reasonably
13 require.

14 (2) The audited financial statements must be prepared by an
15 independent certified public accountant or independent public
16 accountant who is satisfactory to the director.

17 (3) The audited financial statements must include or be
18 accompanied by a certificate of opinion of the independent
19 certified public accountant or independent public accountant that
20 is satisfactory in form and content to the director. If the
21 certificate or opinion is qualified, the director may order the
22 licensee to take any action as the director may find necessary to
23 enable the independent certified public accountant or independent
24 public accountant to remove the qualification.

25 Sec. 43. (1) Each licensee shall submit a report of authorized
26 delegates within 45 days of the end of the calendar quarter. The
27 director may utilize the nationwide multistate licensing system and
28 registry for the submission of the report required by this
29 subsection provided that such functionality is consistent with the



1 requirements of this section.

2 (2) The authorized delegate report must include, at a minimum,
3 all of the following related to each authorized delegate:

4 (a) Company legal name.

5 (b) Taxpayer employer identification number.

6 (c) Principal provider identifier.

7 (d) Physical address.

8 (e) Mailing address.

9 (f) Any business conducted in other states.

10 (g) Any assumed name or trade name.

11 (h) Contact person name, phone number, and email.

12 (i) Start date as licensee's authorized delegate.

13 (j) End date acting as licensee's authorized delegate, if
14 applicable.

15 (k) Any other information the director reasonably requires
16 with respect to the authorized delegate.

17 Sec. 45. (1) A licensee shall file a report with the director
18 within 1 business day after the licensee has reason to know of the
19 occurrence of any of the following events:

20 (a) The filing of a petition by or against the licensee under
21 11 USC 101 to 110, for bankruptcy or reorganization.

22 (b) The filing of a petition by or against the licensee for
23 receivership, the commencement of any other judicial or
24 administrative proceeding for its dissolution or reorganization, or
25 the making of a general assignment for the benefit of its
26 creditors.

27 (c) The commencement of a proceeding to revoke or suspend its
28 license in a state or country in which the licensee engages in
29 business or is licensed.



1 (2) A licensee shall file a report with the director within 3
2 business days after the licensee has reason to know of the
3 occurrence of any of the following events:

4 (a) A charge or conviction of the licensee or of a key
5 individual or person in control of the licensee for a felony.

6 (b) A charge or conviction of an authorized delegate for a
7 felony.

8 Sec. 47. A licensee and an authorized delegate shall file all
9 reports required by federal currency reporting, record keeping, and
10 suspicious activity reporting requirements as set forth in the bank
11 secrecy act and other federal and state laws pertaining to money
12 laundering. The timely filing of a complete and accurate report
13 required under this section with the appropriate federal agency is
14 deemed compliant with the requirements of this section.

15 Sec. 49. (1) A licensee shall maintain all of the following
16 records, for determining its compliance with this act for at least
17 3 years:

18 (a) A record of each outstanding money transmission obligation
19 sold.

20 (b) A general ledger posted at least monthly containing all
21 asset, liability, capital, income, and expense accounts.

22 (c) Bank statements and bank reconciliation records.

23 (d) Records of each outstanding money transmission obligation.

24 (e) Records of each outstanding money transmission obligation
25 paid within the 3-year period.

26 (f) A list of the last known names and addresses of all of the
27 licensee's authorized delegates.

28 (g) Any other records the director reasonably requires by
29 rule.



1 (2) The items specified in subsection (1) may be maintained in
2 any form of record.

3 (3) Records specified in subsection (1) may be maintained
4 outside this state if they are made accessible to the director on 7
5 business-days' notice that is sent in a record.

6 (4) All records maintained by the licensee as required in
7 subsections (1), (2), and (3) are open to inspection by the
8 director in accordance with section 15(1).

9 ARTICLE 8

10 AUTHORIZED DELEGATES

11 Sec. 51. (1) Before a licensee is authorized to conduct
12 business through an authorized delegate or allows a person to act
13 as the licensee's authorized delegate, the licensee must do all of
14 the following:

15 (a) Adopt, and update as necessary, written policies and
16 procedures reasonably designed to ensure that the licensee's
17 authorized delegates comply with applicable state and federal law.

18 (b) Enter into a written contract that complies with
19 subsection (3).

20 (c) Conduct a reasonable risk-based background investigation
21 sufficient for the licensee to determine whether the authorized
22 delegate has complied and will likely comply with applicable state
23 and federal law.

24 (2) An authorized delegate shall operate in full compliance
25 with this act.

26 (3) The written contract required by subsection (1) must be
27 signed by the licensee and the authorized delegate and, at a
28 minimum, must do all of the following:

29 (a) Appoint the person signing the contract as the licensee's



1 authorized delegate with the authority to conduct money
2 transmission on behalf of the licensee.

3 (b) Set forth the nature and scope of the relationship between
4 the licensee and the authorized delegate and the respective rights
5 and responsibilities of the parties.

6 (c) Require the authorized delegate to agree to fully comply
7 with all applicable state and federal laws, rules, and regulations
8 pertaining to money transmission, including this act and
9 regulations implementing this act, relevant provisions of the bank
10 secrecy act and the uniting and strengthening America by providing
11 appropriate tools required to intercept and obstruct terrorism (USA
12 PATRIOT ACT) act of 2001, Public Law 107-56.

13 (d) Require the authorized delegate to remit and handle money
14 and monetary value in accordance with the terms of the contract
15 between the licensee and the authorized delegate.

16 (e) Impose a trust on money and monetary value net of fees
17 received for money transmission for the benefit of the licensee.

18 (f) Require the authorized delegate to prepare and maintain
19 records as required by this act or regulations implementing this
20 act, or as reasonably requested by the director.

21 (g) Acknowledge that the authorized delegate consents to
22 examination or investigation by the director.

23 (h) State that the licensee is subject to regulation by the
24 director and that, as part of that regulation, the director may
25 suspend or revoke an authorized delegate designation or require the
26 licensee to terminate an authorized delegate designation.

27 (i) Acknowledge receipt of the written policies and procedures
28 required under subsection (1)(a).

29 (4) If the licensee's license is suspended, revoked,



1 surrendered, or expired, the licensee must, within 5 business days,
2 provide documentation to the director that the licensee has
3 notified all applicable authorized delegates of the licensee whose
4 names are in a record filed with the director of the suspension,
5 revocation, surrender, or expiration of a license. On suspension,
6 revocation, surrender, or expiration of a license, applicable
7 authorized delegates shall immediately cease to provide money
8 transmission as an authorized delegate of the licensee.

9 (5) An authorized delegate of a licensee holds in trust for
10 the benefit of the licensee all money net of fees received from
11 money transmission. If any authorized delegate commingles any funds
12 received from money transmission with any other funds or property
13 owned or controlled by the authorized delegate, all commingled
14 funds and other property must be considered held in trust in favor
15 of the licensee in an amount equal to the amount of money net of
16 fees received from money transmission.

17 (6) An authorized delegate may not use a subdelegate to
18 conduct money transmission on behalf of a licensee.

19 (7) As used in this section, "remit" means to make direct
20 payments of money to a licensee or its representative authorized to
21 receive money or to deposit money in a bank in an account specified
22 by the licensee.

23 Sec. 53. A person shall not engage in the business of money
24 transmission on behalf of a person not licensed under this act or
25 not exempt under article 3. A person that engages in such activity
26 provides money transmission to the same extent as if the person
27 were a licensee, and shall be jointly and severally liable with the
28 unlicensed or nonexempt person.

29 ARTICLE 9



1 TIMELY TRANSMISSION, REFUNDS, AND DISCLOSURES

2 Sec. 55. (1) Every licensee shall forward all money received
3 for transmission in accordance with the terms of the agreement
4 between the licensee and the sender unless the licensee has a
5 reasonable belief or a reasonable basis to believe that the sender
6 may be a victim of fraud or that a crime or violation of law, rule,
7 or regulation has occurred, is occurring, or may occur.

8 (2) If a licensee fails to forward money received for
9 transmission in accordance with this section, the licensee shall
10 respond to inquiries by the sender with the reason for the failure
11 unless providing a response would violate a state or federal law,
12 rule, or regulation.

13 Sec. 57. (1) This section does not apply to either of the
14 following:

15 (a) Money received for transmission subject to 12 CFR 1005.30
16 to 1005.36.

17 (b) Money received for transmission under a written agreement
18 between the licensee and payee to process payments for goods or
19 services provided by the payee.

20 (2) Every licensee shall refund to the sender within 10 days
21 of receipt of the sender's written request for a refund of any and
22 all money received for transmission unless any of the following
23 occurs:

24 (a) The money has been forwarded within 10 days of the date on
25 which the money was received for transmission.

26 (b) Instructions have been given committing an equivalent
27 amount of money to the person designated by the sender within 10
28 days of the date on which the money was received for transmission.

29 (c) The agreement between the licensee and the sender



1 instructs the licensee to forward the money at a time that is
2 beyond 10 days of the date on which the money was received for
3 transmission. If funds have not yet been forwarded in accordance
4 with the terms of the agreement between the licensee and the
5 sender, the licensee shall issue a refund in accordance with the
6 other provisions of this section.

7 (d) The refund is requested for a transaction that the
8 licensee has not completed based on a reasonable belief or a
9 reasonable basis to believe that a crime or violation of law, rule,
10 or regulation has occurred, is occurring, or may occur.

11 (e) The refund request does not enable the licensee to do
12 either of the following:

13 (i) Identify the sender's name and address or telephone number.

14 (ii) Identify the particular transaction to be refunded in the
15 event the sender has multiple transactions outstanding.

16 Sec. 59. (1) Every licensee or its authorized delegate shall
17 provide the sender a receipt for money received for transmission.
18 The receipt must contain the name of the sender, the name of the
19 designated recipient, the date of the transaction, the unique
20 transaction or identification number, the name of the licensee, the
21 nationwide multistate licensing system and registry unique ID, the
22 licensee's business address, and the licensee's customer service
23 telephone number, the amount of the transaction in United States
24 dollars, any fee charged by the licensee to the sender for the
25 transaction, and any taxes collected by the licensee from the
26 sender for the transaction. The receipt required by this subsection
27 must be in English and in the language principally used by the
28 licensee or authorized delegate to advertise, solicit, or
29 negotiate, either orally or in writing, for a transaction conducted



1 in person, electronically or by phone, if other than English.

2 (2) This section does not apply to any of the following:

3 (a) Money received for transmission subject to 12 CFR 1005.30
4 to 1005.36.

5 (b) Money received for transmission that is not primarily for
6 personal, family, or household purposes.

7 (c) Money received for transmission under a written agreement
8 between the licensee and the payee to process payments for goods or
9 services provided by the payee.

10 (d) Payroll processing services.

11 (3) As used in this section, "receipt" means a paper receipt,
12 electronic record, or other written confirmation. For a transaction
13 conducted in person, the receipt may be provided electronically if
14 the sender requests or agrees to receive an electronic receipt. For
15 a transaction conducted electronically or by phone, a receipt may
16 be provided electronically. All electronic receipts must be
17 provided in a retainable form.

18 Sec. 61. Every licensee or authorized delegate shall include
19 on a receipt or disclose on the licensee's website or mobile
20 application the name and phone number of the department and a
21 statement that the licensee's customers can contact the department
22 with questions or complaints about the licensee's money
23 transmission services.

24 Sec. 63. (1) A licensee that provides payroll processing
25 services shall do both of the following:

26 (a) Issue reports to clients detailing client payroll
27 obligations in advance of the payroll funds being deducted from an
28 account.

29 (b) Make available worker paystubs or an equivalent statement



1 to workers.

2 (2) Subsection (1) does not apply to a licensee providing
3 payroll processing services where the licensee's client designates
4 the intended recipients to the licensee and is responsible for
5 providing the disclosures required by subsection (1) (b).

6 ARTICLE 10

7 PRUDENTIAL STANDARDS

8 Sec. 65. (1) A licensee shall maintain at all times a tangible
9 net worth of the greater of \$100,000.00 or 3% of total assets for
10 the first \$100,000,000.00, 2% of additional assets for
11 \$100,000,000.00 to \$1,000,000,000.00, and 0.5% of additional assets
12 for over \$1,000,000,000.00.

13 (2) Tangible net worth must be demonstrated at initial
14 application by the applicant's most recent audited or unaudited
15 financial statements in accordance with section 25(2) (f).

16 (3) Notwithstanding the foregoing provisions of this section,
17 the director has the authority, for good cause shown, to exempt, in
18 part or in whole, from the requirements of this section any
19 applicant or licensee.

20 Sec. 67. (1) An applicant for a money transmission license
21 must provide, and a licensee at all times shall maintain, security
22 consisting of a surety bond in a form satisfactory to the director
23 or, with the director's approval, a deposit instead of a bond in
24 accordance with this section.

25 (2) The amount of the required security is either of the
26 following:

27 (a) The greater of \$100,000.00 or an amount equal to 100% of
28 the licensee's average daily money transmission liability in this
29 state calculated for the most recently completed 3-month period, up



1 to a maximum of \$500,000.00.

2 (b) In the event that the licensee's tangible net worth
3 exceeds 10% of total assets, the licensee shall maintain a surety
4 bond of \$100,000.00.

5 (3) A licensee that maintains a bond in the maximum amount
6 provided for in subsection (2)(a) or (b), as applicable, shall not
7 be required to calculate its average daily money transmission
8 liability in this state for purposes of this section.

9 (4) A licensee may exceed the maximum required bond amount
10 under section 71(1)(d).

11 Sec. 69. (1) A licensee shall maintain at all times
12 permissible investments that have a market value computed in
13 accordance with United States generally accepted accounting
14 principles of not less than the aggregate amount of all of its
15 outstanding money transmission obligations.

16 (2) Except for permissible investments enumerated in section
17 71(1), the director, with respect to any licensee, may by rule or
18 order limit the extent to which a specific investment maintained by
19 a licensee within a class of permissible investments may be
20 considered a permissible investment, if the specific investment
21 represents undue risk to customers, not reflected in the market
22 value of investments.

23 (3) Permissible investments, even if commingled with other
24 assets of the licensee, are held in trust for the benefit of the
25 purchasers and holders of the licensee's outstanding money
26 transmission obligations in the event of insolvency, the filing of
27 a petition by or against the licensee under 11 USC 101 to 110, for
28 bankruptcy or reorganization, the filing of a petition by or
29 against the licensee for receivership, the commencement of any



1 other judicial or administrative proceeding for its dissolution or
2 reorganization, or in the event of an action by a creditor against
3 the licensee who is not a beneficiary of this statutory trust. No
4 permissible investments impressed with a trust under this
5 subsection is subject to attachment, levy of execution, or
6 sequestration by order of any court, except for a beneficiary of
7 this statutory trust.

8 (4) On the establishment of a statutory trust in accordance
9 with subsection (3) or when any funds are drawn on a letter of
10 credit under section 71(1)(e), the director shall notify the
11 applicable regulator of each state in which the licensee is
12 licensed to engage in money transmission, if any, of the
13 establishment of the trust or the funds drawn on the letter of
14 credit, as applicable. Notice must be deemed satisfied if performed
15 in accordance with a multistate agreement or through the nationwide
16 multistate licensing system and registry. Funds drawn on a letter
17 of credit, and any other permissible investments held in trust for
18 the benefit of the purchasers and holders of the licensee's
19 outstanding money transmission obligations, are deemed held in
20 trust for the benefit of such purchasers and holders on a pro rata
21 and equitable basis in accordance with statutes under which
22 permissible investments are required to be held in this state, and
23 other states, as applicable. Any statutory trust established
24 hereunder must be terminated on extinguishment of all of the
25 licensee's outstanding money transmission obligations.

26 (5) The director by rule or by order may allow other types of
27 investments that the director determines are of sufficient
28 liquidity and quality to be a permissible investment. The director
29 is authorized to participate in efforts with other state regulators



1 to determine that other types of investments are of sufficient
2 liquidity and quality to be a permissible investment.

3 Sec. 71. (1) The following investments are permissible under
4 section 69:

5 (a) Cash, including demand deposits, savings deposits, and
6 funds in such accounts held for the benefit of the licensee's
7 customers in a federally insured depository financial institution,
8 and cash equivalents including ACH items in transit to the licensee
9 and ACH items or international wires in transit to a payee, cash in
10 transit via armored car, cash in smart safes, cash in licensee-
11 owned locations, debit card or credit card-funded transmission
12 receivables owed by any bank, or money market mutual funds rated
13 "AAA" by S&P, or the equivalent from any eligible rating service.

14 (b) Certificates of deposit or senior debt obligations of an
15 insured depository institution, as defined in section 3 of the
16 federal deposit insurance act, 12 USC 1813, or an insured credit
17 union, as defined under 12 USC 1752.

18 (c) An obligation of the United States or a commission,
19 agency, or instrumentality thereof, an obligation that is
20 guaranteed fully as to principal and interest by the United States,
21 or an obligation of a state or a governmental subdivision, agency,
22 or instrumentality thereof.

23 (d) One hundred percent of the surety bond or deposit provided
24 for under section 67.

25 (e) The full drawable amount of an irrevocable standby letter
26 of credit for which the stated beneficiary is the director that
27 stipulates that the beneficiary need only draw a sight draft under
28 the letter of credit and present it to obtain funds up to the
29 letter of credit amount within 7 days of presentation of the items



1 required by subsection (4).

2 (2) All of the following apply to letter of credit under
3 subsection (1) (e):

4 (a) It must be issued by a federally insured depository
5 financial institution, a foreign bank that is authorized under
6 federal law to maintain a federal agency or federal branch office
7 in a state or states, or a foreign bank that is authorized under
8 state law to maintain a branch in a state to which either of the
9 following apply:

10 (i) It bears an eligible rating or its parent company bears an
11 eligible rating.

12 (ii) It is regulated, supervised, and examined by United States
13 federal or state authorities having regulatory authority over
14 banks, credit unions, and trust companies.

15 (b) It must be irrevocable, unconditional, and indicate that
16 it is not subject to any condition or qualifications outside of the
17 letter of credit.

18 (c) It must not contain reference to any other agreements,
19 documents or entities, or otherwise provide for any security
20 interest in the licensee.

21 (d) It must contain an issue date and expiration date, and
22 expressly provide for automatic extension, without a written
23 amendment, for an additional period of 1 year from the present or
24 each future expiration date, unless the issuer of the letter of
25 credit notifies the director in writing by certified or registered
26 mail or courier mail or other receipted means, at least 60 days
27 before any expiration date, that the irrevocable letter of credit
28 will not be extended.

29 (3) In the event of any notice of expiration or non-extension



1 of a letter of credit issued under subsection (2)(d), the licensee
2 shall be required to demonstrate to the satisfaction of the
3 director, 15 days before expiration, that the licensee maintains
4 and will maintain permissible investments in accordance with
5 section 69(1) on the expiration of the letter of credit. If the
6 licensee is not able to do so, the director may draw on the letter
7 of credit in an amount up to the amount necessary to meet the
8 licensee's requirements to maintain permissible investments in
9 accordance with section 69(1). Any such draw must be offset against
10 the licensee's outstanding money transmission obligations. The
11 drawn funds must be held in trust by the director or the director's
12 designated agent, to the extent authorized by law, as agent for the
13 benefit of the purchasers and holders of the licensee's outstanding
14 money transmission obligations.

15 (4) The letter of credit under subsection (1)(e) must provide
16 that the issuer of the letter of credit will honor, at sight, a
17 presentation made by the beneficiary to the issuer all of the
18 following documents on or before the expiration date of the letter
19 of credit:

20 (a) The original letter of credit, including any amendments.

21 (b) A written statement from the beneficiary stating that any
22 of the following events have occurred:

23 (i) The filing of a petition by or against the licensee under
24 11 USC 101 to 110, for bankruptcy or reorganization.

25 (ii) The filing of a petition by or against the licensee for
26 receivership, or the commencement of any other judicial or
27 administrative proceeding for its dissolution or reorganization.

28 (iii) The seizure of assets of a licensee by a director under an
29 emergency order issued in accordance with applicable law on the



1 basis of an action, violation, or condition that has caused or is
2 likely to cause the insolvency of the licensee.

3 (iv) The beneficiary has received notice of expiration or non-
4 extension of a letter of credit and the licensee failed to
5 demonstrate to the satisfaction of the beneficiary that the
6 licensee will maintain permissible investments in accordance with
7 section 69(1) on the expiration or non-extension of the letter of
8 credit.

9 (5) The director may designate an agent to serve on the
10 director's behalf as beneficiary to a letter of credit under
11 subsection (1)(e) so long as the agent and letter of credit meet
12 requirements established by the director. The director's agent may
13 serve as agent for multiple licensing authorities for a single
14 irrevocable letter of credit if the proceeds of the drawable amount
15 for the purposes of subsection (1)(e) are assigned to the director.

16 (6) The director is authorized to participate in multistate
17 processes designed to facilitate the issuance and administration of
18 letters of credit under subsection (1)(e), including, but not
19 limited to, services provided by the nationwide multistate
20 licensing system and registry and State Regulatory Registry, LLC.

21 (7) Unless permitted by the director by rule or by order to
22 exceed the limit as set forth herein, all of the following
23 investments are permissible under section 69 to the extent
24 specified:

25 (a) Receivables that are payable to a licensee from its
26 authorized delegates in the ordinary course of business that are
27 less than 7 days old, up to 50% of the aggregate value of the
28 licensee's total permissible investments.

29 (b) Of the receivables permissible under subdivision (a),



1 receivables that are payable to a licensee from a single authorized
2 delegate in the ordinary course of business may not exceed 10% of
3 the aggregate value of the licensee's total permissible
4 investments.

5 (c) The following investments are permissible up to 20% per
6 category and combined up to 50% of the aggregate value of the
7 licensee's total permissible investments:

8 (i) A short-term, up to 6 months, investment bearing an
9 eligible rating.

10 (ii) Commercial paper bearing an eligible rating.

11 (iii) A bill, note, bond, or debenture bearing an eligible
12 rating.

13 (iv) United States tri-party repurchase agreements
14 collateralized at 100% or more with United States government or
15 agency securities, municipal bonds, or other securities bearing an
16 eligible rating.

17 (v) Money market mutual funds rated less than "AAA" and equal
18 to or higher than "A-" by S&P, or the equivalent from any other
19 eligible rating service.

20 (vi) A mutual fund or other investment fund composed solely and
21 exclusively of one or more permissible investments listed in
22 subsection (1) (a) to (c).

23 (d) Cash, including demand deposits, savings deposits, and
24 funds in such accounts held for the benefit of the licensee's
25 customers, at foreign depository institutions are permissible up to
26 10% of the aggregate value of the licensee's total permissible
27 investments, if all of the following apply to the foreign
28 depository institution:

29 (i) It has an eligible rating.



1 (ii) It is registered in accordance with subtitle A of title V
2 of the hiring incentives to restore employment act, Public Law 111-
3 147.

4 (iii) It is not located in any country subject to sanctions from
5 the Office of Foreign Asset Control.

6 (iv) It is not located in a high-risk or non-cooperative
7 jurisdiction as designated by the Financial Action Task Force.

8 ARTICLE 11

9 ENFORCEMENT

10 Sec. 73. (1) The director may suspend or revoke a license or
11 order a licensee to revoke the designation of an authorized
12 delegate under any of the following circumstances:

13 (a) The licensee violates this act, a rule promulgated under
14 this act, an order or declaratory ruling issued under this act, or
15 any applicable state or federal law.

16 (b) The licensee does not cooperate with an examination or
17 investigation by the director.

18 (c) The licensee engages in fraud, intentional
19 misrepresentation, or gross negligence.

20 (d) An authorized delegate is convicted of a violation of a
21 state or federal anti-money laundering statute, or violates a rule
22 adopted or an order issued under this act, as a result of the
23 licensee's willful misconduct or willful blindness, as that term is
24 defined in section 4701 of the revised judicature act of 1961, 1961
25 PA 236, MCL 600.4701.

26 (e) The competence, experience, character, or general fitness
27 of the licensee, authorized delegate, person in control of a
28 licensee, key individual, or responsible person of the authorized
29 delegate indicates that it is not in the public interest to permit



1 the person to provide money transmission.

2 (f) Subject to subsection (2), the licensee engages in an
3 unsafe or unsound practice.

4 (g) The licensee fails to maintain the minimum net worth
5 required under section 65 or is insolvent, suspends payment of its
6 obligations, or makes a general assignment for the benefit of its
7 creditors.

8 (h) The licensee does not remove an authorized delegate after
9 the director issues and serves on the licensee a final order
10 including a finding that the authorized delegate has violated this
11 act.

12 (2) In determining whether a licensee is engaging in an unsafe
13 or unsound practice, the director may consider the size and
14 condition of the licensee's money transmission, the magnitude of
15 the loss, the gravity of the violation of this act, and the
16 previous conduct of the person involved.

17 Sec. 75. (1) If in the opinion of the director a licensee or
18 an authorized delegate is, has, or is about to engage in a practice
19 that poses a threat of financial loss or threat to the public
20 welfare or is, has, or is about to violate a law, rule, or order,
21 the director may issue and serve on the licensee or authorized
22 delegate a cease and desist order under this section.

23 (2) A cease and desist order issued under this section must
24 contain a statement of the facts constituting the alleged practice
25 or violation. A person ordered to cease and desist must be entitled
26 to a hearing before the commissioner if a written request for a
27 hearing is filed with the commissioner not more than 30 days after
28 the effective date of the order. A hearing must be conducted in
29 accordance with the provisions of the administrative procedures act



1 of 1969, 1969 PA 306, MCL 24.201 to 24.328.

2 (3) A licensee or authorized delegate ordered to cease and
3 desist may consent to issuance of a cease and desist order under
4 this section. A licensee or authorized delegate ordered to cease
5 and desist also consents to the issuance of the cease and desist
6 order if the licensee or a duly authorized representative of the
7 licensee fails to appear at a hearing described in subsection (2).

8 (4) If a licensee or authorized delegate consents under
9 subsection (3), or if the director finds based on the record made
10 at the hearing that the practice or violation specified in the
11 order is established, the cease and desist order becomes final. The
12 order may require the licensee or authorized delegate and its
13 officers, directors, members, partners, trustees, employees,
14 agents, or control persons to cease and desist from the practice or
15 violation and to take affirmative action to correct the conditions
16 resulting from the practice or violation.

17 (5) Except as provided in subsection (6) or to the extent it
18 is stayed, modified, terminated, or set aside by the director or a
19 court, a cease and desist order is effective on the date of
20 service.

21 (6) A cease and desist order issued with a licensee's or
22 authorized delegate's consent is effective at the time specified in
23 the order and remains effective and enforceable as provided in the
24 order.

25 Sec. 77. (1) If in the opinion of the director a person has
26 engaged in fraud or has been convicted of a criminal violation
27 involving money laundering, the director may serve on that person a
28 written notice of intention to prohibit that person from being
29 employed by an agent of, or a control person of a licensee under



1 this act, or a licensee or registrant under a financial licensing
2 act. As used in this subsection, "fraud" includes actionable fraud,
3 actual or constructive fraud, criminal fraud, extrinsic or
4 intrinsic fraud, fraud in the execution, in the inducement, in
5 fact, or in law, or any other form of fraud.

6 (2) A notice issued under subsection (1) must contain a
7 statement of the facts supporting the prohibition and, except as
8 provided under subsection (7), set a time and date for a hearing,
9 within 60 days after the date of the notice. If the person does not
10 appear at the hearing, the person consents to the issuance of an
11 order in accordance with the notice.

12 (3) If, after a hearing held under subsection (2), the
13 director finds that any of the grounds specified in the notice have
14 been established, the director may issue an order of suspension or
15 prohibition from being a licensee or registrant or from being
16 employed by, an agent of, or a control person of any licensee under
17 this act or a licensee or registrant under any financial licensing
18 act.

19 (4) An order issued under subsection (2) or (3) is effective
20 when served on the person subject to the order. The director shall
21 also serve a copy of the order on the licensee of which the person
22 is an employee, agent, or control person. The order remains in
23 effect until it is stayed, modified, terminated, or set aside by
24 the director or a reviewing court.

25 (5) After 5 years from the date of an order issued under
26 subsection (2) or (3), the person subject to the order may apply to
27 the director to terminate the order.

28 (6) If the director considers that a person served a notice
29 under subsection (1) poses an imminent threat of financial loss to



1 purchasers of payment instruments from a licensee, the director may
2 serve on the person an order of suspension from being employed by,
3 an agent of, or a control person of any licensee. The suspension is
4 effective on the date the order is issued and, unless stayed by a
5 court, remains in effect pending the completion of a review as
6 provided under this section and until the director has dismissed
7 the charges specified in the order.

8 (7) Unless otherwise agreed to by the director and the person
9 served with an order issued under subsection (6), the director
10 shall hold the hearing required under subsection (2) to review a
11 suspension not earlier than 5 days or later than 20 days after the
12 date of the notice.

13 (8) If a person is convicted of a felony involving fraud,
14 dishonesty, breach of trust, or money laundering, the director may
15 issue an order suspending or prohibiting that person from being a
16 licensee and from being employed by, an agent of, or a control
17 person of any licensee under this act or a licensee or registrant
18 under a financial licensing act. After 5 years from the date of the
19 order, the person subject to the order may apply to the director to
20 terminate the order.

21 (9) The director shall mail a copy of any notice or order
22 issued under this section to the licensee of which the person
23 subject to the notice or order is an employee, agent, or control
24 person.

25 Sec. 79. The director may enter into a consent order at any
26 time with a person to resolve a matter arising under this act or a
27 rule adopted or order issued under this act. A consent order must
28 be signed by the person to whom it is issued or by the person's
29 authorized representative, and must indicate agreement with the



1 terms contained in the order. A consent order may provide that it
2 does not constitute an admission by a person that this act or a
3 rule adopted or an order issued under this act has been violated.

4 Sec. 81. (1) A person that intentionally makes a false
5 statement, misrepresentation, or false certification in any record
6 or document filed or required to be maintained under this act or
7 that intentionally makes a false entry or omits a material entry in
8 a record is guilty of a felony punishable by imprisonment for not
9 more than 5 years or a fine of not more than \$100,000.00, or both.

10 (2) A person that engages in criminal fraud in the conduct of
11 its money transmission services business is guilty of a felony
12 punishable by imprisonment for not more than 5 years or a fine of
13 not more than \$100,000.00, or both.

14 (3) A person that knowingly engages in an activity for which a
15 license is required under this act and is not licensed under this
16 act is guilty of a felony punishable by imprisonment for not more
17 than 5 years or a fine of not more than \$100,000.00, or both. A
18 court shall order a person convicted of violating subsection (1) or
19 (2) to pay restitution as provided in section 1a of chapter IX of
20 the code of criminal procedure, 1927 PA 175, MCL 769.1a, and the
21 William Van Regenmorter crime victim's rights act, 1985 PA 87, MCL
22 780.751 to 780.834.

23 Sec. 83. The director may assess a civil fine against a person
24 that violates this act or a rule adopted or an order issued under
25 this act in an amount not to exceed \$10,000.00 per day for each day
26 the violation is outstanding, plus this state's costs and expenses
27 for the investigation and prosecution of the matter, including
28 reasonable attorney fees.

29 ARTICLE 12



MISCELLANEOUS PROVISIONS

Sec. 85. In applying and construing this act, consideration must be given to the need to promote uniformity of the law with respect to its subject matter among states that enact it.

Sec. 87. If any provision of this act or its application to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of this act which can be given effect without the invalid provision or application, and to this end the provisions of this act are severable.

Sec. 89. (1) A person licensed in this state to engage in the business of money transmission shall not be subject to the provisions of this act, to the extent that the provisions conflict with current law or establish new requirements not imposed under current law, until July 1, 2027.

(2) Notwithstanding subsection (1), a licensee shall only be required to amend its authorized delegate contracts for contracts entered into or amended after January 1, 2027 or the completion of any transition period contemplated under subsection (1). Nothing herein shall be construed as limiting an authorized delegate's obligations to operate in full compliance with this act as required by section 51(2).

(3) A person providing payroll processing services in this state without a license shall not be considered in violation of section 21 if the person applies for a license before July 1, 2027. The director may for good cause extend the transition period in conjunction with the extension of an application period.

Enacting section 1. The money transmission services act, 2006 PA 250, MCL 487.1001 to 487.1047, is repealed effective July 1, 2027.



1 Enacting section 2. This act takes effect January 1, 2027.